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|          |                                                                        | <p>Here, Plaintiff's conduct necessitated the filing of this successful motion and Plaintiff failed to show that Plaintiff acted with substantial justification or that other circumstances make the imposition of the sanction unjust.</p> <p>Therefore, the court will award sanctions to Defendants.</p> <p>However, the amount requested is somewhat excessive for a straightforward motion to compel and Defendants' Counsel has not explained how much time was expended on what tasks and at what billing rate. The court will reduce the amount of sanctions accordingly.</p> <p>Defendant shall give notice of this ruling.</p>                                                                                                                                                                                                                                                                                                                                                                                                   |
| <b>6</b> | <b>NTHC, LLC. vs. Crest Foods, Inc.</b><br><br><b>30-2022-01252337</b> | <p><u>Motion for Determination of Good-Faith Settlement</u></p> <p>Defendant Davis Wright Tremaine LLP's Motion for Determination of Good Faith Settlement [Code Civ. Proc. § 877.6(a)(1)] is DENIED without prejudice.</p> <p><u>Pending Motion</u></p> <p>Defendant Davis Wright Tremaine LLP (Defendant DWT) moves for a determination that the settlement between it and Plaintiff NTHC, LLC was made in good faith, pursuant to Civil Procedure Code section 877.6.</p> <p><u>Standard for Determination of Good-Faith Settlement</u></p> <p>Code of Civil Procedure section 877.6 provides in pertinent part:</p> <p>(a)(1) Any party to an action in which it is alleged that two or more parties are joint tortfeasors or co-obligors on a contract debt shall be entitled to a hearing on the issue of the good faith of a settlement entered into by the plaintiff or other claimant and one or more alleged tortfeasors or co-obligors, upon giving notice in the manner provided in subdivision (b) of Section 1005. . . .</p> |

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|  |  | <p>(b) The issue of the good faith of a settlement may be determined by the court on the basis of affidavits served with the notice of hearing, and any counter affidavits filed in response, or the court may, in its discretion, receive other evidence at the hearing.</p> <p>(c) A determination by the court that the settlement was made in good faith shall bar any other joint tortfeasor or co-obligor from any further claims against the settling tortfeasor or co-obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault.</p> <p>(d) The party asserting the lack of good faith shall have the burden of proof on that issue.</p> <p>(Code Civ. Proc., § 877.6, subd.s (a)-(d).)</p> <p>The settling party's evidentiary burden depends on whether the good faith of the settlement is contested. When the settling party files a motion or application for determination of good faith settlement, it does not know whether the settlement will or will not be contested. (<i>City of Grand Terrace v. Superior Court</i> (1987) 192 Cal.App.3d 1251 1260-1261.)</p> <p>Where "good faith" is not contested, a "barebones" motion which sets forth the grounds of good faith and is accompanied by a declaration setting forth a brief background of the case is sufficient. (<i>Id.</i> at p. 1261.)</p> <p>When the good faith nature of a settlement is disputed, however, the court must consider and weigh factors laid out by the Supreme Court in <i>Tech-Bilt, Inc. v. Woodward-Clyde &amp; Associates</i> (1985) 38 Cal.3d 488. (See <i>id.</i> at p. 1261 ["when the good faith nature of a settlement is disputed, it is incumbent upon the trial court to consider and weigh the <i>Tech-Bilt</i> factors"]; see also <i>id.</i> at pp. 1263-1264.)</p> <p>As explained by the Supreme Court:</p> |
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|  |  | <p>[T]he intent and policies underlying section 877.6 require that a number of factors be taken into account including a rough approximation of plaintiffs' total recovery and the settlor's proportionate liability, the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and recognition that a settlor should pay less in settlement than he would if he were found liable after a trial. Other relevant considerations include the financial conditions and insurance policy limits of settling defendants, as well as the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants.</p> <p><i>(Tech-Bilt, Inc. v. Woodward-Clyde &amp; Associates, supra, 38 Cal.3d at p. 499.)</i></p> <p>Another key factor is the settling tortfeasor's potential liability for indemnity to joint tortfeasors. <i>(Far West Financial Corp. v. D &amp; S Co. (1988) 46 Cal.3d 796, 816, fn. 16; TSI Seismic Tenant Space, Inc. v. Superior Court (2007) 149 Cal.App.4th 159, 166.)</i> Because a good faith determination bars indemnity claims by nonsettling parties, the true value of the settlement may not be the amount paid to plaintiff but rather the value of the shield against such indemnity claims. <i>(TSI Seismic Tenant Space, Inc. v. Superior Court, supra, 149 Cal.App.4th at p. 166.)</i></p> <p>"Finally, practical considerations obviously require that the evaluation be made on the basis of information available at the time of settlement." <i>(Tech-Bilt, Inc. v. Woodward-Clyde &amp; Associates, 38 Cal.3d at p. 499.)</i> "'Good faith' is not affected by the fact the parties did not have access to all the evidence ultimately offered at trial on the disputed issues." <i>(Toyota Motor Sales U.S.A., Inc. v. Superior Court (1990) 220 Cal.App.3d 864, 878.)</i></p> <p>In order to grant a motion for good faith determination of settlement, "a defendant's settlement figure must not be grossly disproportionate to what a reasonable person, at the time of the settlement, would estimate the settling defendant's liability to be." <i>(Tech-Bilt, Inc. v. Woodward-Clyde &amp; Associates, 38 Cal.3d at p. 499.)</i></p> |
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|  |  | <p>The opposing party bears the burden of proof on the issue of lack of good faith. (See Code Civ. Proc., § 877.6, subd. (d).)</p> <p>However, the statutory requirement of “good faith” presents an issue of fact and a finding of good faith must therefore be supported by substantial evidence. (<i>City of Grand Terrace v. Superior Court, supra</i>, 192 Cal.App.3d at pp. 1263-1265.)</p> <p>Therefore, just because the contesting party has the burden of proof on the issue of lack of good faith and might fail to meet that burden, does not mean that the trial court may properly grant the application if the record lacks sufficient evidence to support the conclusion that the settlement was entered into in good faith. (See <i>City of Grand Terrace v. Superior Court, supra</i>, 192 Cal.App.3d at pp. 1263-1264.)</p> <p>In fact, once an objecting party challenges a settlement, the settling party is required to “file counteraffidavits (Code Civ. Proc., § 877.6, subd. (b)) to make an evidentiary showing that the settlement was ‘in the ballpark.’ In the absence of such a showing by [the party] seeking approval of the good faith settlement, there is ‘no substantial evidence to support a critical assumption as to the nature and extent of [the] settling [party’s] liability[.]’” (<i>Mattco Forge, Inc. v. Arthur Young &amp; Co., supra</i>, 38 Cal.App.4th at p. 1350, fn. 6; see also <i>id.</i> at 1351 [“in view of the absence of any substantial evidence to show the \$250,000 value of the guarantee was within the reasonable range of [the settling party’s] proportionate liability, [the contesting party] met its burden in attacking the settlement as lacking in good faith”]; see also <i>City of Grand Terrace v. Superior Court, supra</i>, 192 Cal.App.3d at pp. 1261, 1263 [“[T]he affidavits, declarations or other evidence should provide the court with the facts necessary to evaluate the settlement in terms of the factors contemplated by <i>Tech-Bilt</i>. Without the facts, in a contested hearing, it is impossible for a court to exercise its discretion in an appropriate fashion.”].)</p> <p>In addition, where good faith is contested, conclusory allegations as to the settling parties’ liability are insufficient to uphold the court’s ruling granting a motion for good faith settlement as a</p> |
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|  |  | <p>matter of law. (<i>Mattco Forge, Inc. v. Arthur Young &amp; Co.</i>, <i>supra</i>, 38 Cal.App.4th at p. 1351.)</p> <p><u><i>Tech-Bilt</i> Factors</u></p> <p>In this case, because the good faith of the settlement has been contested by Defendants Crest Foods, Inc.; Crest Foods Systems, Inc.; and Ziad S. Dilal (collectively, Crest Defendants), the court must consider the factors laid out in <i>Tech-Bilt, Inc. v. Woodward-Clyde &amp; Associates</i>.</p> <p><u>Approximation of Plaintiff's Total Recovery and Settlor's Proportionate Liability</u></p> <p>Here, neither Defendant DWT nor the Crest Defendants any declarations or other evidence to establish Plaintiff's total recovery or Defendant DWT's proportionate liability.</p> <p>In fact, none of the parties present any analysis or argument regarding these matters.</p> <p>While the Crest Defendants do bear the burden of proof on the issue of lack of good faith, Defendant DWT nonetheless must present substantial evidence of good faith.</p> <p>Here, Defendant DWT only submits the declaration of one of its counsel, which only lays out some of the basic underlying facts of this case, but does not present any evidence relating to Plaintiff's total recovery or Defendant DWT's proportionate liability. (See Decl. of Jessica R. MacGregor in Supp. of Def. DWT's Mot for Determination of Good Faith Settlement [Code Civ. Proc., § 877.6(a)(1)] (MacGregor Decl.), ¶¶ 1-16.)</p> <p>For example, the declaration of Defendant DWT's Counsel does not provide any facts regarding what injuries Plaintiff suffered, what role (if any) Defendant DWT played in causing those injuries, or what defenses Defendant DWT may have against Plaintiff's claims. (See <i>ibid.</i>)</p> <p>In addition, after Crest Defendants opposed this motion, Defendant DWT did not file any "counteraffidavits" to show that the settlement amount was not grossly disproportionate or unreasonable, as required by Civil Procedure Code section 877.6(b).</p> <p>"In the absence of such a showing by [the party] seeking approval of the good faith settlement,</p> |
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|  |  | <p>there is 'no substantial evidence to support a critical assumption as to the nature and extent of [the] settling [party's] liability[.]'" (<i>Mattco Forge, Inc. v. Arthur Young &amp; Co., supra</i>, 38 Cal.App.4th at p. 1350, fn. 6.)</p> <p>Here, there are no facts presented that would allow the court to exercise its discretion. (See <i>City of Grand Terrace v. Superior Court, supra</i>,, 192 Cal.App.3d at pp. 1261, 1263 ["[T]he affidavits, declarations or other evidence should provide the court with the facts necessary to evaluate the settlement in terms of the factors contemplated by <i>Tech-Bilt</i>. Without the facts, in a contested hearing, it is impossible for a court to exercise its discretion in an appropriate fashion."].)</p> <p><u>The Amount Paid in Settlement</u></p> <p>The court has been presented with evidence of the amount paid in settlement. (See MacGregor Decl., ¶ 2.)</p> <p>However, without further evidence, the court is unable to determine whether the amount paid by Defendant DWT is "in the ballpark" or "within a reasonable range."</p> <p>For example, there is no evidence of the potential total liability or Defendant DWT's share of that liability. (See <i>Tech-Bilt, Inc. v. Woodward-Clyde &amp; Associates, supra</i>, 38 Cal.3d at p. 99 ["good faith" settlement is one that is "within the reasonable range" of settling tortfeasor's share of liability].)</p> <p>The parties have presented evidence and argument regarding Defendant DWT's statute of limitations defense. (See <i>ibid.</i> [disproportionately low settlement does not <i>ipso facto</i> reflect lack of good faith where damages are speculative, or liability is highly uncertain or remote].)</p> <p>However, because the court has not been provided with sufficient facts to come to even a rough approximation of Defendant DWT's share of the liability, an analysis of the strength of Defendant DWT's defenses is not helpful.</p> <p>The only exception is if Defendant DWT has a defense that is certain or nearly certain to succeed, in which case its estimated proportion of the liability would be zero.</p> |
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|  |  | <p>Here, there are substantial arguments on both sides regarding the strength of Defendant DWT's statute of limitations defense. The court cannot say that this defense is certain or nearly certain to succeed.</p> <p><u>Allocation of Settlement Proceeds Among Plaintiffs</u></p> <p>This is not a relevant factor as there is only one plaintiff in this case.</p> <p><u>Recognition that Settlor Should Pay Less in Settlement Than If Found Liable at Trial</u></p> <p>The court recognizes that Defendant DWT should pay less in settlement than it would have paid than if it had been found liable at trial.</p> <p>However, this consideration is not helpful where the court has not been provided with evidence as to the amount Defendant DWT might have been liable if Plaintiff had prevailed after a trial.</p> <p><u>Financial Condition and Insurance Policy Limits of Settling Defendant</u></p> <p>The court was not provided with any relevant evidence on this factor.</p> <p><u>Existence of Collusion, Fraud, or Tortious Conduct</u></p> <p>No party presented evidence that the settlement between Plaintiff and Defendant DWT was the product of collusion, fraud, or tortious conduct.</p> <p>To the extent that the burden of proof lies with the Crest Defendants, they have not met this burden.</p> <p><u>Settling Defendant's Potential Liability for Indemnity to Other Defendants</u></p> <p>There court was not presented with evidence or arguments that Defendant DWT may be liable for indemnity to the Crest Defendants or any other defendants.</p> <p>After considering all these factors, the court finds that Defendant DWT has not meet its burden to present substantial evidence upon which this court may base a finding of good faith.</p> |
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|  |  | <p>For example, there is no evidence as to the total liability to Plaintiff nor Defendant DWT's proportionate share of that liability.</p> <p>In addition, while Defendant DWT presented some evidence and argument as to its statute of limitations defense, it was not sufficient to show that this defense was certain or almost certain to carry the day and thus reduce Defendant DWT's potential liability to zero.</p> <p>It is true that Crest Defendants did not meet their burden to show lack of good faith.</p> <p>However, if, in a contested case, "there is no substantial evidence to support a critical assumption as to the nature and extent of a settling defendant's liability, then a determination of good faith based upon such assumption is an abuse of discretion." (<i>Mattco Forge, Inc. v. Arthur Young &amp; Co.</i> (1995) 38 Cal.App.4th 1337, 1350-1351 &amp; fn. 6, quoting <i>Toyota Motor Sales U.S.A., Inc. v. Superior Court</i>, <i>supra</i>, 220 Cal.App.3d at p. 871.)</p> <p>Therefore, the court will deny without prejudice the motion for determination of good faith settlement.</p> <p><u>Motion to Seal</u></p> <p>Defendant Davis Wright Tremaine LLP's Motion for Leave to File Documents Under Seal is GRANTED.</p> <p>The court ORDERS that the following shall be sealed:</p> <ol style="list-style-type: none"> <li>1. The unredacted version of the Memorandum of Points and Authorities in Support of Defendant Davis Wright Tremaine LLP Motion for Determination of Good Faith Settlement [Code Civ. Proc. § 877.6(a)(1)] (ROA #227);</li> <li>2. The unredacted version of the Declaration of Jessica R. MacGregor in Support of Defendant Davis Wright Tremaine LLP's Motion for Determination of Good Faith Settlement [Code Civ. Proc. § 877.6(a)(1)] (ROA #226); and</li> </ol> |
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|  |  | <p>3. Exhibit A to the Declaration of Jessica R. MacGregor in Support of Defendant Davis Wright Tremaine LLP’s Motion for Determination of Good Faith Settlement [Code Civ. Proc. § 877.6(a)(1)] (ROA #226).</p> <p><u>Pending Motion</u></p> <p>Defendant Davis Wright Tremaine LLP (Defendant DWT) moves to seal documents that disclose the amount of its settlement with Plaintiff NTHC, LLC.</p> <p><u>Standard for Motion to Seal</u></p> <p>“Unless confidentiality is required by law, court records are presumed to be open.” (Cal. Rules of Court, rule 2.550(c); see <i>In re Marriage of Tamir</i> (2021) 72 Cal.App.5th 1068, 1078 [public’s right of access to court records is based on both common law right of access to public documents, as well as constitutional right grounded in the First Amendment].)</p> <p>To seal a record, the moving party must file a motion for such relief, along with a memorandum and a declaration containing facts sufficient to justify the sealing. (Cal. Rules of Court, Rule 2.551, subd. (b)(1).) The motion must be served on all parties, and unless the court orders otherwise, a complete copy of the document must be served on all other parties that already possess copies, along with the redacted version. (Cal. Rules of Court, Rule 2.551, subd. (b)(2).)</p> <p>To grant a motion to seal, the court must expressly find that:</p> <ol style="list-style-type: none"> <li>1. an overriding interest exists that overcomes the right of public access to the record;</li> <li>2. the overriding interest supports sealing the records;</li> <li>3. a substantial probability exists that the overriding interest will be prejudiced if the record is not sealed;</li> <li>4. the proposed sealing is narrowly tailored; and</li> <li>5. no less restrictive means exist to achieve the overriding interest.</li> </ol> |
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|  |  | <p>(Cal. Rules of Court, Rule 2.550, subd. (d); <i>McGuan v. Endovascular Technologies, Inc.</i> (2010) 182 Cal.App.4th 974, 988.)</p> <p>Examples of documents that may qualify to be sealed are:</p> <ul style="list-style-type: none"> <li>• Documents containing trade secrets, (see <i>In re Providian Credit Card Cases</i> (2002) 96 Cal.App.4th 292, 300; <i>McGuan v. Endovascular Tech., Inc.</i>, <i>supra</i>, 182 Cal.App.4th at p. 988 [business' quality control records and complaint handling procedures may be sealed]);</li> <li>• Documents containing material protected by a privilege, (see <i>Huffy Corp. v. Superior Court</i> (2003) 112 Cal.App.4th 97, 108 [documents protected by attorney-client privilege may be sealed]);</li> <li>• Confidential settlement agreement, (see <i>Universal City Studios, Inc. v. Superior Court</i> (2003) 110 Cal.App.4th 1273, 1283).</li> </ul> <p>In the last of the above cited cases, the Court of Appeal explained that a contractual duty not to disclose contract terms can be sufficient to constitute an overriding interest. (See <i>Universal City Studios, Inc. v. Superior Court</i>, <i>supra</i>, 110 Cal.App.4th at pp. 1283-84 ["We agree with defendant that its contractual obligation not to disclose can constitute an overriding interest within the meaning of rule 243.1(d)"].)</p> <p>A sealing order must: (a) specifically state facts supporting the above findings; and (b) be narrowly tailored (<i>i.e.</i>, it should direct sealing of only those documents and pages that contain material that needs to be placed under seal; all other portions of each document or page must remain in the public file). (See Cal. Rules of Court, rule 2.550(e)(1); Weil &amp; Brown, Cal. Prac. Guide Civ. Pro. Before Trial (Rutter 2017) ¶ 9:418.1.)</p> <p>In this case, the requirements of Rule 2.550 have been met. Here, Plaintiff and Defendant DWT have negotiated a settlement in this case that includes an agreement to keep the material terms of the settlement confidential.</p> <p>Defendant DWT has shown an overriding interest</p> |
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|          |                                                                | <p>exists in encouraging settlement of legal disputes and keeping material terms of settlement confidential that overcomes the right of public access to the information contained in the subject documents.</p> <p>Defendant DWT also has shown that the right supports the sealing of the documents.</p> <p>Defendant DWT has established that a substantial probability exists that the overriding interest will be prejudiced if the records are not sealed, that the proposed sealing is narrowly tailored, and there are no less restrictive means to achieve the overriding privacy interest.</p> <p>In addition, the requirements of Rule 2.551 have been met.</p> <p>No other party to this action or third-party has opposed the motion or shown that the requirements of Rule 2.550 or Rule 2.551 have not been met.</p> <p>Defendant DWT shall give notice of these rulings.</p>                                              |
| <b>7</b> | <p><b>Parker vs. Harris</b></p> <p><b>30-2024-01375596</b></p> | <p><u>Motion for Attorney's Fees</u></p> <p>Cross-Defendant Matthew Parker's Motion for Attorney's Fees is GRANTED.</p> <p>Cross-Complainant Nathan Harris and Album Creative Studios Inc. are ORDERED to pay to Cross-Defendant Matthew Parker reasonable attorney's fees in the amount of \$12,939.55 and costs in the amount of \$192.20 within 30 days of service of the notice of ruling.</p> <p><u>Pending Motion</u></p> <p>Cross-Defendant Matthew Parker (Cross-Defendant Parker) moves for an award of attorney fees in the amount of \$21,623 and costs in the amount of \$192.20 pursuant to the Anti-SLAPP statute, Civil Procedure Code section 425.16.</p> <p><u>Basis for Award of Attorney's Fees</u></p> <p>Civil Procedure Code section 425.16 states that "a prevailing defendant on a [Anti-SLAPP] special motion to strike shall be entitled to recover that defendant's attorney's fees and costs." (Code Civ.</p> |